January CPI: preview and analysis

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Holiday travel & auto fuel offsetting electricity & health.

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Westpac is estimating a 0.1% rise in the January CPI. This will see the annual pace drop from 3.8%yr

to 3.6%yr.

Our January Trimmed Mean estimate is 0.3% which will hold the annual pace flat at 3.3%yr. The six month annualised pace eases from back from 3.7%yr to 3.4%yr.

Our preliminary estimate for the March quarter CPI is 1.1%qtr which will lift the annual pace from 3.6%yr to 3.8%yr.

Westpac's preliminary estimate for the March quarter Trimmed Mean is 0.9%qtr which will see the annual pace lift from 3.4%yr to 3.5%yr.

In the month of January, robust gains in electricty, health services and fruit & vegetables is being mostly offset by falling auto fuel, holiday travel and garments.

For now the ABS will construct the quarterly Trimmed Mean in a manner consistent with their historical price collection frequency rather than taking an average of monthly observations.

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